

Energy Commodities Market Overview

This sector covers the **global trading and distribution of energy commodities**, including crude oil, refined products (gasoline, diesel, jet fuel), natural gas, coal, and electricity, which power all industries. It allows producers, utilities, and investors to manage supply, balance the power grid, and hedge against price volatility. Without this sector, infrastructure would cost governments much more, and energy prices would be completely unpredictable.

Factors Driving the Energy Commodities Market

1. Economic Growth: influences supply and demand
2. Supply Chain Issues: slows down the process from material to physical product
3. Political Instability: wars, new government policies, or political changes
4. Weather: specifically impacts commodities

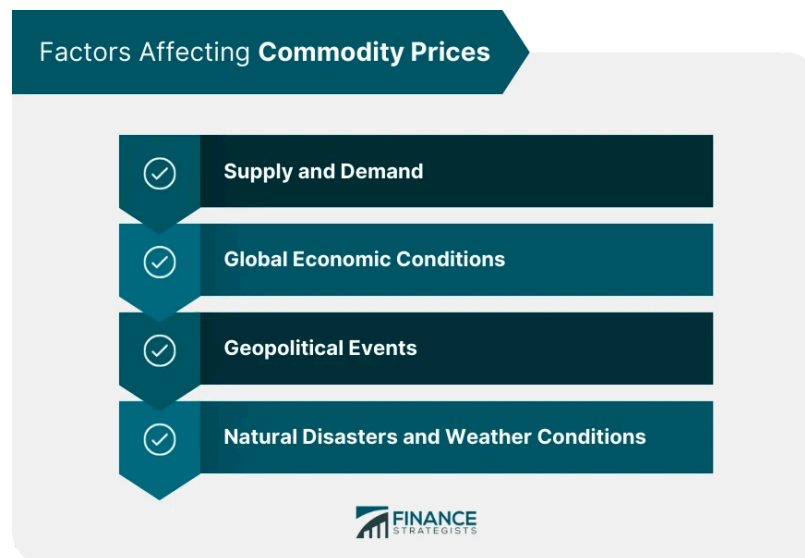


Image: https://www.google.com/url?q=https://www.financestrategists.com/wealth-management/alternative-investment/commodities/&sa=D&source=docs&ust=1784737207260856&usg=AOvVaw0FY_ethSpaFW_rurDBghaw

Global Events and Developments

Iran-Israel Regional Conflict and Strait of Hormuz Disruption

Event Overview

The fighting between Iran and Israel has increased this month, including an Iranian strike on a Kuwaiti power plant and briefly threatened tanker traffic going through the Strait of Hormuz. This strait carries about **a fifth of the global oil supply**, making it a [critical waterway for the global economy](#).

Energy Commodities Market Impact

Oil suppliers feared that tankers would get stuck in the Strait of Hormuz → oil prices [jumped 14%](#) to \$84 a barrel

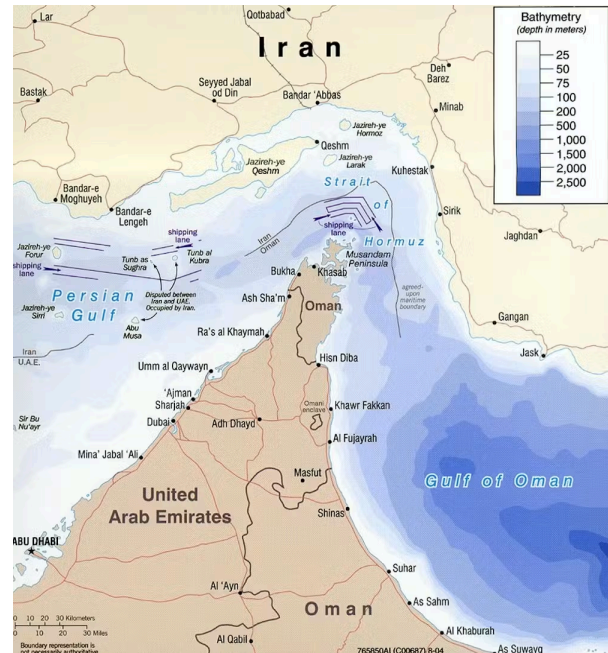


Image: <https://theconversation.com/strait-of-hormuz-if-the-iran-conflict-shuts-worlds-most-important-oil-chokepoint-global-economic-chaos-could-follow-277199>

Ukrainian Drone Strikes



Image: <https://www.theguardian.com/world/2023/aug/22/ukraine-drone-strike-reportedly-destroys-russian-flagship-supersonic-bomber>

Event Overview

Ukrainian drone strikes have been repeatedly hitting Russian oil refineries, including a strike on July 6th that knocked the **Omsk refinery** out. The [Omsk refinery is Russia's largest gasoline producer](#), and knocking it out means a **fifth of global refinery capacity** is gone. Russia has responded to this by banning diesel exports to account for the domestic shortages.

Energy Commodities Market Impact

Ukrainian drone strikes knock out refineries → diesel crack spreads [hit a record high](#) of over \$91 a barrel, and U.S. gasoline inventories [fell to their lowest level](#) since 2012.

Macquarie's Critical Role

Overview of CGM

Macquarie's Commodities and Global Markets team is responsible for **navigating the complex global markets** for their business clients. They provide a range of services, including trading commodities, financing, risk management tools, and market insights to help their clients manage their exposure to the unpredictable commodities market.

Case Study: [Natural Gas and LNG](#)

Challenge

The global market had a lot of shocks, including Russia's invasion of Ukraine, the Middle East conflict, and the closure of the Strait of Hormuz. Additionally, new **LNG export terminals** in the US and Canada finished construction and began shipping gas, which added a new supply to the global market. This caused **prices to be pulled in different directions** at the same time, since there was a shortage and new supply. During this, gas companies had built-in options in their contracts that could've helped them profit from this chaos, but they weren't set up to use them actively. Companies that had **hedges on gas prices** were hit with surprise demands to pay large amounts of cash on short notice.

Solution

As a result of these challenges companies were facing, Macquarie's CGM team built **tailored hedges** to solve the specific problems that the situation brought upon the company. They utilized **index-switching tools** to optimize price exposure and products that are designed to get value from LNG cancellation rights. It also offered **unmargined derivative structures**, which are useful for their clients to avoid paying on short notice. To support these financial solutions with physical asset backing, they signed a 20-year **LNG offtake agreement** with Texas LNG and a 15-year term with AMIGO LNG. This offtake ensures Macquarie maintains profit from market volatility and allows them to give unique solutions for their downstream global energy clients.

Result

From the work Macquarie's CGM team did, their clients were able to better navigate the geopolitical effects that the closure of the Strait of Hormuz had. Clients were able to make money and save costs by using the advanced contract features that they didn't have before working with Macquarie. Additionally, when energy prices were volatile, clients didn't have to find millions of dollars to back up their trade. This innovative approach earned Macquarie the **Natural Gas/LNG House of the Year** distinction at the **2026 Energy Risk Awards**.

Learnings from Working in CGM

What surprised you about this sector?

- Something that surprised me about this sector is that everything is **situation-based** and **very fast-paced**. The entire market can shift in a matter of moments depending on something that is seen on the news or some event that causes economies and governments to change. Macquarie's CGM team has to be able to adapt to these situations to provide the most fine-tuned and specific solutions for their clients to stay competitive.

What did you learn about how global markets work?

- I learned that global markets are heavily subject to **change by geopolitical events** that can shift the movement of commodities. They are also primarily driven by the international exchange between companies for goods.

What kind of skills do professionals at CGM need?

- Professionals at CGM need to be able to have critical **research** skills to analyze the current market that could potentially cause disruptions to the prices and supply of commodities in the trade cycle. Quick **decision-making** and **communication** skills are also necessary to manage and maintain strong client relationships.